

sponding to change. They have the aggressive spirit that's needed. In big companies decisions have to go through layers of management, and things happen slowly. Indeed, in my book, establishment companies are automatically suspect. Twenty years of substantial corporate growth can be a warning sign. Chances are, things have changed enough so that whatever made the company a success twenty years ago doesn't work anymore. Dumbo could fly because he was a baby elephant. Adult elephants are aerodynamically unsound.

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By concentrating on smaller companies, then, you improve your chances of catching the next wave and riding with the tide. Look at the corporate crusade of the past five years: downsizing. The big companies decided that to be efficient and competitive they had to decentralize, regionalize, become a flock of small elephants flying in formation. So a small company is the right size now.

## **More Room to Grow**

Obviously, but importantly, small companies can run faster than mature ones. Ford can't sell twice as many cars this year as it did last year, but a small software company can more than double its sales of a hot new program. I've seen the stock prices of small energy companies shoot up overnight when they announced a new gas discovery that wouldn't have created a quiver in Exxon's stock price. Some small companies run fast enough that they pretty quickly graduate into the big leagues and prove enormously rewarding to investors who don't sell them too soon.